

or new customers from the above mentioned segments could do so.

Q Players like Microsoft and Amazon are now setting up DCs in India to tap sensitive sectors like the government, BFSI and telecom. With these players coming in, the competition would increase. How do you plan to face it?

It is true that players like Microsoft and Amazon deliver a fairly large scale, specially-operated, automated cloud delivery model. With them, everything is automated through a portal and customers can just go there and consume the cloud. They can use it or come out of it any time. So this is one way of offering cloud services, which involves a specially automated way of delivery where you can go and consume cloud resources right away. You may have some varieties and different types of packages for customers of different sizes or with different requirements. This model typically works on a large scale. This will be an advantage for Amazon and Microsoft. But, the only drawback is that they are not delivering these services from India, but from Singapore or Hong Kong and naturally, from a regulatory compliance point of view, many of the customers are not comfortable in using their services.

However, companies like us who deal with enterprise customers cannot adopt the same approach. Enterprises do not take their applications to the cloud straight away. Decision-makers in an enterprise like to first ask questions that will help in operating an app on the cloud. They would have concerns over their existing IT infrastructure. So, the very first problem that a CIO would like to be addressed by any service provider is the right level of absorption and accommodation of the firm's existing IT infrastructure. Also, CIOs would want to lessen their troubles by outsourcing their existing structure. This would take care of issues with power, cooling, scalability and all other such things involved in running in-house infrastructure. These issues are going to be addressed by players like us, no matter who enters the market. Enterprises with legacy IT will continue to favour players like us, as they can continue utilising their existing IT hardware and avoid the cost of a fresh investment.

So, with most of the enterprises including medium, large and very large firms, the solution is never a single view of shifting to the cloud. It is a combination of using the existing investments in IT, which they would like to do for as long as there is life in them. And even when customers want to launch new applications, they would like to move to the cloud gradually.

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Q What role does open source technology play in Netmagic's scheme of things?

Open source technology has a crucial role to play, particularly in the cloud and data centre business. Customers are looking for cost-effective solutions, and open source is able to provide these. A fairly large part of our business is based on open source technology. We have about 600 members in our engineering team, and most of them work on open source technologies. We support all the customers who bring in open source technologies and host them in our data centre. We are constantly dabbling with open source technologies to possibly launch another version of our cloud, which will basically be running on open source.

Q How important do you think open source technology is for enterprise IT businesses?

It is extremely important. Modern day CIOs want freedom and don't want to lock themselves in with a particular vendor. We have seen so much of migration, with our customers moving from closed technologies to open source technologies. This is helping them and giving them a much wider variety of vendors, as well as a broader, more varied ecosystem for support services. They are not stuck with a single technology or a single vendor. It is helping

them reduce the cost of technology and cost of operations as well. Netmagic is helping here by supporting most of these technologies. I am seeing open source technology as a huge wave from my customers' point of view.

Q What are the challenges IT heads are facing in the modern IT enterprise, and what are the problems that you are trying to address?

I will speak more with respect to my field of the data centre and the cloud. The biggest challenge an IT head faces is how to manage the firm's IT investments. It started about 15 years ago when all CIOs wanted to create their own data centres within their own buildings. Everybody loved to have that corner glass room called the server room or data room. People would put in racks and have a small data centre in every building, just to be able to say that, "I have my own captive data centre."

Over a period of time, the technologies and the densities of data centres evolved from a small rack to about a 20kVA power rack. So much of compute and storage got stuffed into a single rack footprint, and the amount of power and cooling required in a data centre